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Financial Stability Report

2023 • Pacific Island Countries



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The findings, interpretations and conclusions in this paper are entirely those of the authors. They do not necessarily represent the views of the International Bank for Reconstruction and Development/World Bank and its affiliated organisations, or those of the Executive Directors of the World Bank or the governments they represent.





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A close-up, low-angle shot of a hand pressing a button on a calculator keypad. The keypad is dark with light-colored buttons. The hand is in the foreground, slightly out of focus, while the calculator is in sharp focus. The background is dark and blurry.

1.

OVERVIEW OF FINANCIAL SYSTEMS IN PACIFIC ISLAND COUNTRIES.¹

¹ This report covers the following Pacific Island Countries: Fiji, Kiribati, Marshall Islands, Micronesia, Nauru, Palau, Papua New Guinea, Samoa, Solomon Islands, Timor-Leste, Tonga, Tuvalu, Vanuatu



1. Financial systems in the Pacific Island Countries are relatively underdeveloped, with commercial banks accounting for the largest share of assets.

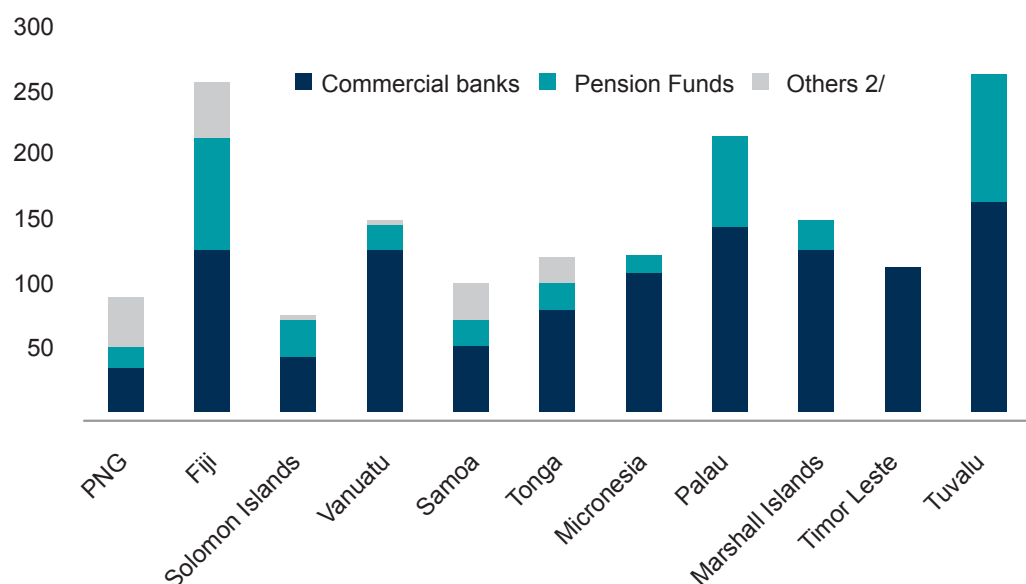
Pacific Island Countries (PICs) can broadly be divided into three groupings: i) countries with their own currencies (Papua New Guinea, Fiji, Solomon Islands, Vanuatu, Samoa, and Tonga); ii) US \$ dollar-based economies (Micronesia, Palau, Marshall Islands and Timor-Leste); Australian-dollar based countries (Tuvalu, Kiribati, and Nauru). With the exception of Papua New Guinea (PNG), all PICs possess small undiversified economies with limited links to international financial markets. The financial systems largely reflect these characteristics of PICs, comprising mostly of banks, pension funds, insurance companies and brokers, money transfer operators and FX dealers (Table 1). In relation to their economies, the largest financial sectors are found in Fiji, Tuvalu, and Palau, with system assets crossing over 200 percent of GDP (Figure 1). At the other end, PNG and the Solomon Islands have the smallest financial sectors, given the relatively lower levels of per capita income and institutional capacity. Among different types of financial institutions, banks dominate the financial systems in all countries (Figure 2). For instance, banks represent over

80 percent of the financial system assets in Vanuatu, Micronesia, Marshall Islands and Timor-Leste, while accounting for at least 50 percent in other jurisdictions. In addition, provident (pension) funds play a significant role in the financial systems of several countries, with significant links to the banking industry as a large single depositor, as well providing bank-like services to its members. Insurance companies also operate in most PICs, but control a small share of financial system assets, as do the non-bank lenders, brokerage firms and other financial institutions.

2. The range of financial products are limited and unsophisticated, while access to financial services is also low.

Products and services offered by banks are largely confined to services like deposit-taking (transaction accounts and term deposits), unsecured personal loans, mortgage-based lending, trade finance, and payments facilities (including EFTPOS, ATMs, mobile banking and credit cards). A significant proportion of the population has no or limited access to bank accounts or payment services in several countries, which is particularly the case in PNG and the Solomon Islands. In most of the PICs, a significant proportion of the population has no or only very limited insurance cover.

Figure 1. Composition of the financial system (Percent of GDP)

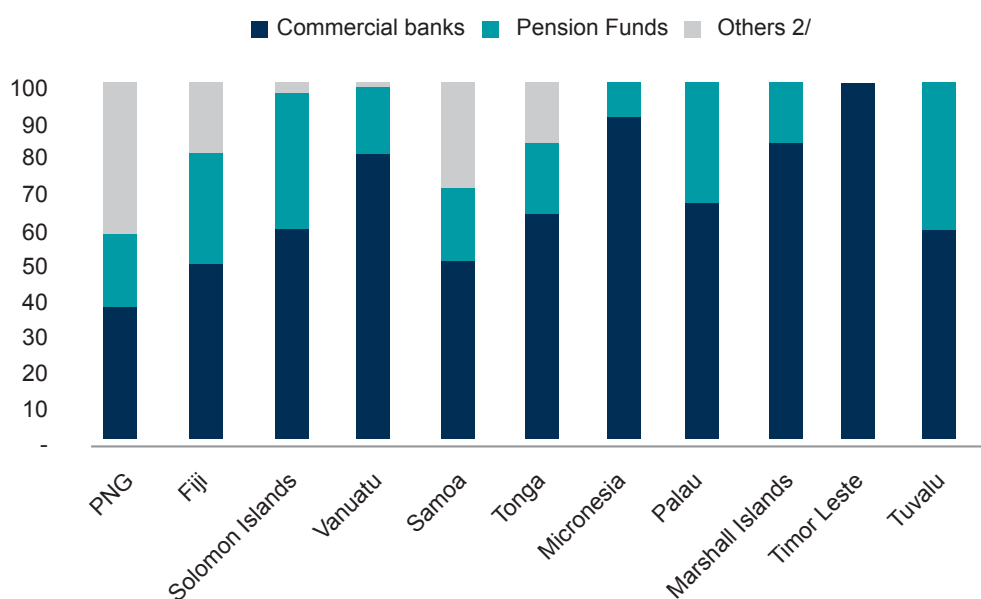


Source: Country authorities; World Bank staff estimates.

1/ Nauru and Kiribati are excluded due to data limitations.

2/ Others include Insurance brokers, money transfer operators, FX dealers and microcredit institutions.

Figure 2. Composition of the financial system (Percent of total assets)



Source: Country authorities; World Bank staff estimates.

1/ Nauru and Kiribati are excluded due to data limitations. 2/ Others include Insurance brokers, money transfer operators, FX dealers and microcredit institutions.

Banking sector

3. **One Australian and another Papua New Guinean bank has a large footprint in the region.** ANZ (Australia) and Bank South Pacific (BSP, domiciled in PNG), are the two regional banks with significant presence in the PICs. Out of the 13 countries covered in this report, ANZ operates in 8, while BSP in 6 countries (Table 2). These two banks generally operate in host jurisdictions via branches, but in some cases operate through subsidiaries. Westpac (Australia) was also present in the region but significantly reduced its footprint, only remaining in PNG and Fiji. Last October, Westpac stated it will increase investment in the subsidiaries and has plans to further grow Pacific banking. In the case of the US-dollar based jurisdictions (Marshall Islands, Micronesia and Palau), US-domiciled banks have a substantial presence, given the political and economic relationships with the US.
4. **Overall, foreign banks dominate banking system assets in all PICs, playing a systematically important role.** Foreign banks have a significant market share of the banking assets in most countries and are the most systemically important banks in PICs. Foreign banks control between 70 to 90 percent of the system in Fiji, Solomon Islands, Tonga and Timor-Leste. Their share goes up to 100 percent in Palau, Nauru and Kiribati (Figures 3 and 4). Some domestically owned banks, including development banks, are also systemically important, for instance in PNG, Tonga, Micronesia, Marshall Islands and Tuvalu

(Table 2).

5. **The dominance of foreign banks in PICs could bring some risks as well as benefits.**

One potential risk emanates from a transmission of risk from the parent bank (or other parts of the parent group) to the subsidiary or branch in host countries. There are also operational risks associated with foreign banks, including the risk of critical systems being unavailable to the local operation in a situation of operational or financial distress in the parent. Finally, there always exists a risk of the withdrawal from the PICs of the foreign banks, if banks decide potential costs and risks of maintaining their activities, particularly on the anti-money laundering and know-your-customer requirements, significantly outweigh return. This decreases the availability of financial services and correspondent banking relationships, reduces competition, heightening the risks to financial stability, should the operations of these banks be acquired by banks with poorer standards of governance, risk management and capital strength. The benefits of foreign dominance include strengthened competition, provision of deeper and more diverse financial services, and a deepening of credit channels. The presence of foreign banks from jurisdictions with higher quality of supervision and stable financial systems can help strengthen the resilience of PICs' financial systems, given their ability to absorb localized credit losses as well as such banks' ability to manage risk exposures prudently.

Table 1. Composition of financial sector by institutional category (number of financial institutions)

COUNTRY NAME	Commercial banks	Insurance companies	Insurance brokers	Money transfer/FX dealers	Other financial institutions
Domestic currency					
Papua New Guinea	4	5	4	10	50
Fiji	6	9	4	11	19
Solomon Islands	4	4	6	13	13
Vanuatu	5	34	-	-	10
Samoa	4	6	4	13	4
Tonga	4	-	-	11	-
Dollarized					
Micronesia	2	-	-	-	1
Palau	5	-	-	-	3
Marshall Islands	3	2	-	2	1
Timor Leste	5	3	-	12	3
Tuvalu	2	1	-	1	1
Kiribati	1	1	-	-	1
Nauru	1	-	-	-	1

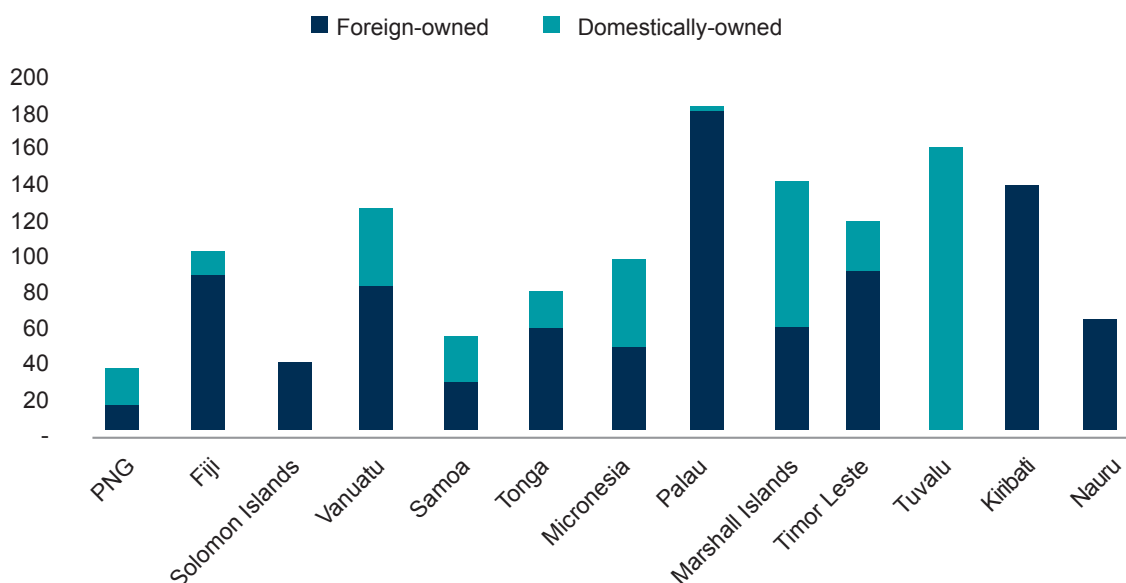
Source: Asian Development Bank; and World Bank (2022).

Table 2. Commercial Banks by Market Share in Pacific Island Countries (percent of total assets).

Dollarized								Domestic currency				Exchange rate regime				
AU \$				US \$				Panaga	Tala	Vatu	Sol. Isl. \$	Fijian \$	Kina	Currency		
Nauru	Kiribati	Tuvalu	Timor Leste	Marshall Islands	Palau	Micronesia	Tonga	Samoa	Vanuatu	Solomon Islands	Fiji	Papua New Guinea	COUNTRY NAME			
100	100	100	100	100	100	100	100	100	100	100	100	100	GRAND TOTAL			
Foreign-owned banks																
	100		6				16	26	28	23	26	27	ANZ			
											20	17	Westpac			
100													Bandigo Bank			
											7		Bank of Baroda			
									23	20	7		Bred Bank			
				41	29	52							Bank of Guam			
					53								Bank of Hawaii			
					17								Bank Pacific			
			15										Grupo Caixa Geral de Depositos			
			13										Bank Mandiri			
			42										Bank Rakyat Indonesia			
							57	30	13	47	23		Bank South Pacific			
100	100	0	76	41	99	52	73	56	64	90	87	44	Subtotal			
Domestically-owned banks																
												53	Bank South Pacific			
												3	Kina Securities			
											13		Home Finance Company			
										10			Pan Oceanic Bank			
									13				Wanfuteng Bank			
									23				National Bank of Vanuatu			
								23					Samoa Commercial Bank			
								21					National Bank of Samoa			
							0.3						MBF Bank			
							27						Tonga Development Bank			
						48							Bank of the Federated States of Micronesia			
				0.3									Asia Pacific Commercial Bank			
				1									Palau Investment Bank			
			49										Bank of Marshall Islands			
			10										Marshall Islands Development Bank			
		24											Banco Nacional de Comercio de Timor-Leste			
		98											National Bank of Tuvalu			
		2											Development Bank of Tuvalu			
0	0	100	24	59	1	48	27	44	36	10	13	56	Subtotal			

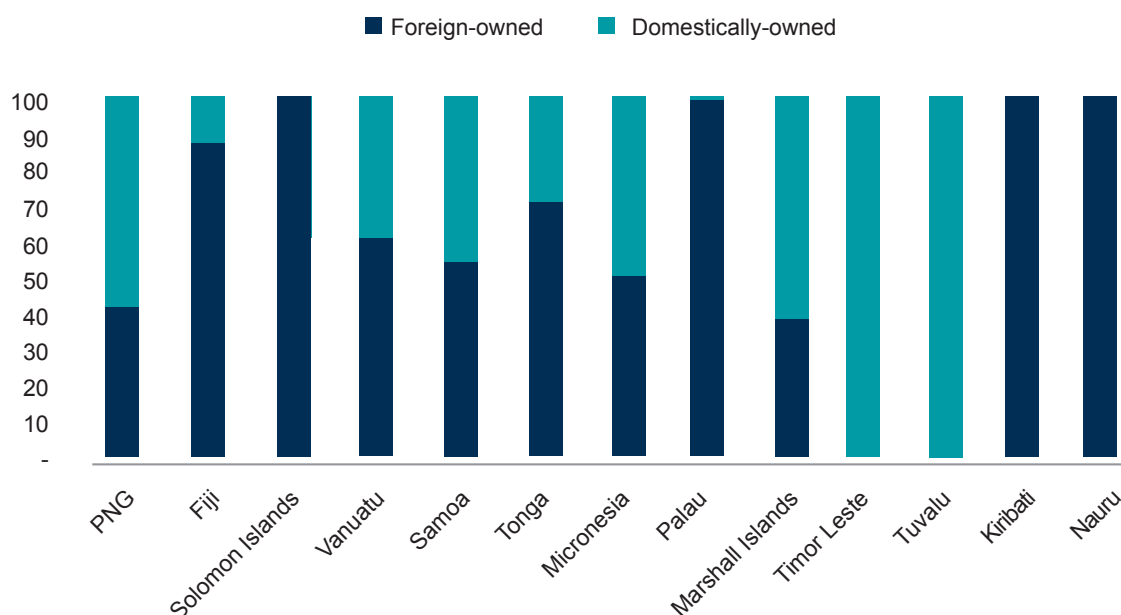
Source: Country authorities; IMF; and World Bank staff estimates

Figure 3. Banking systems in the Pacific Island Countries (percent of GDP)



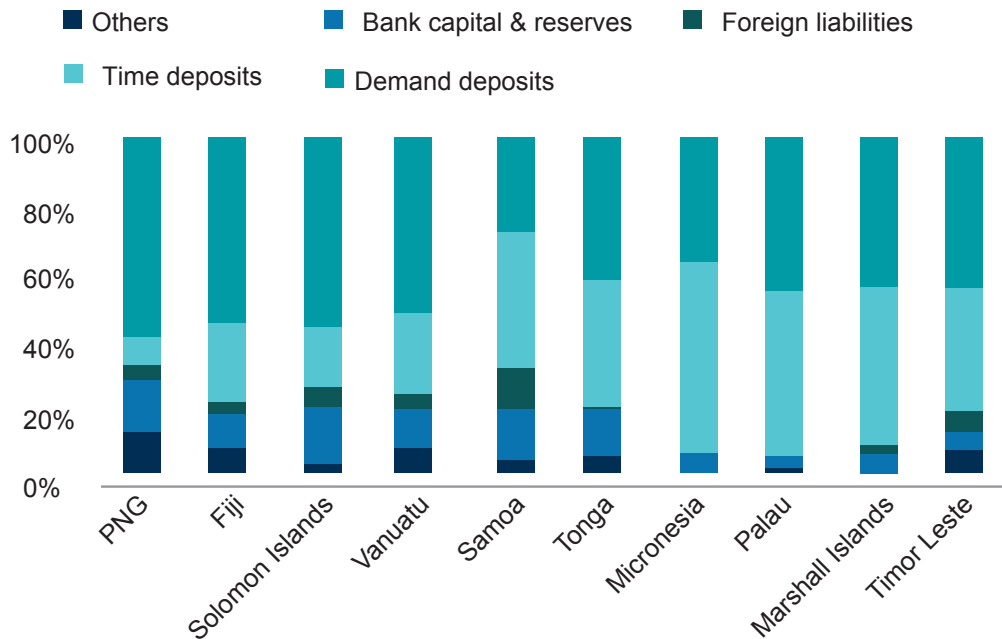
Source: Country authorities; IMF; and World Bank staff estimates

Figure 4. Banking systems in the Pacific Island Countries (percent of system assets)



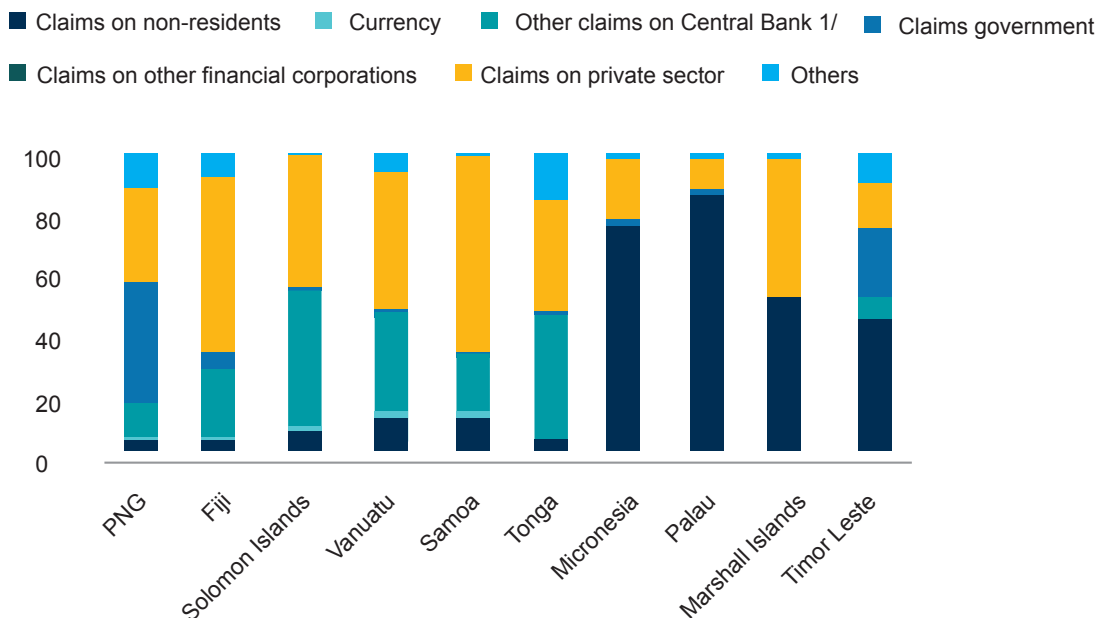
Source: Country authorities; IMF; and World Bank staff estimates

Figure 5. Bank liabilities



Source: Country authorities; IMF; and World Bank staff estimates

Figure 6. Bank assets



Source: Country authorities; IMF; and World Bank staff estimates

6. The funding model of banks relies on deposits.

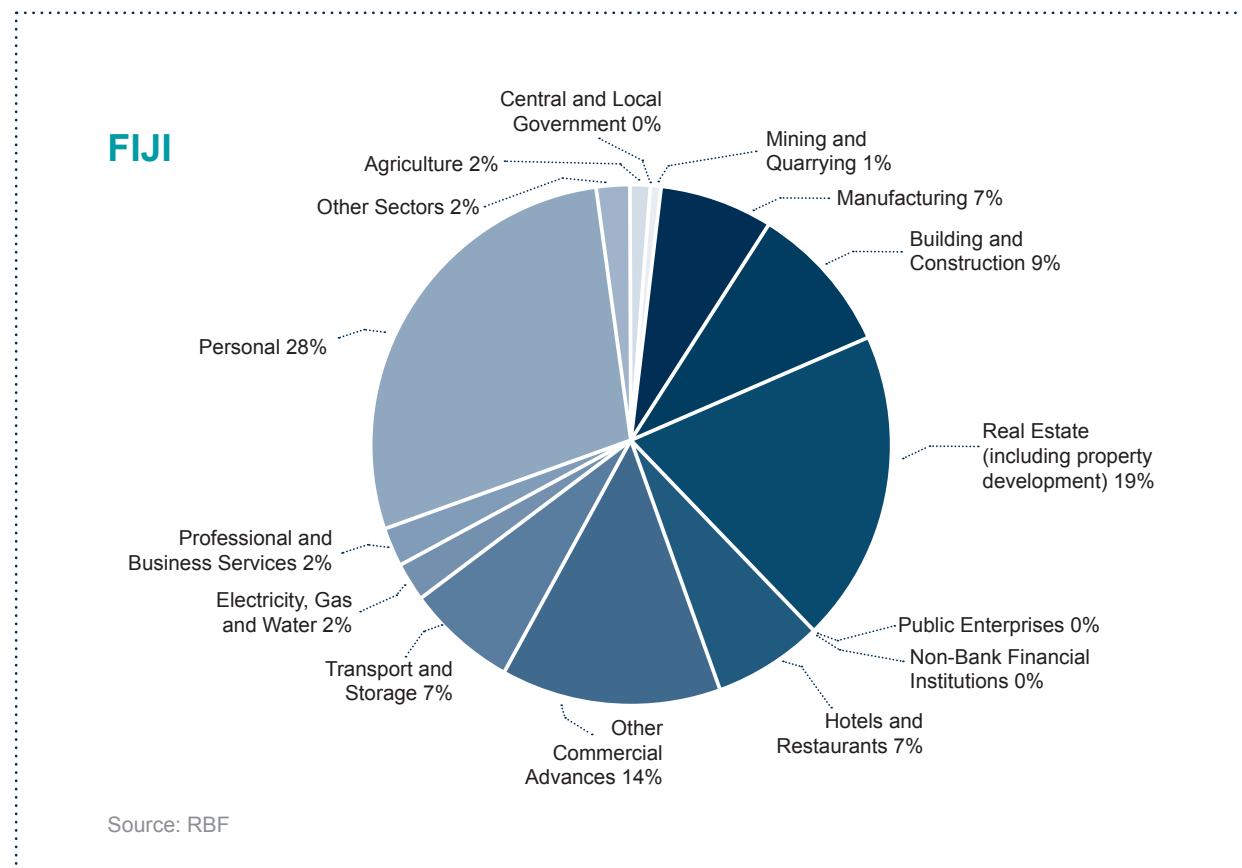
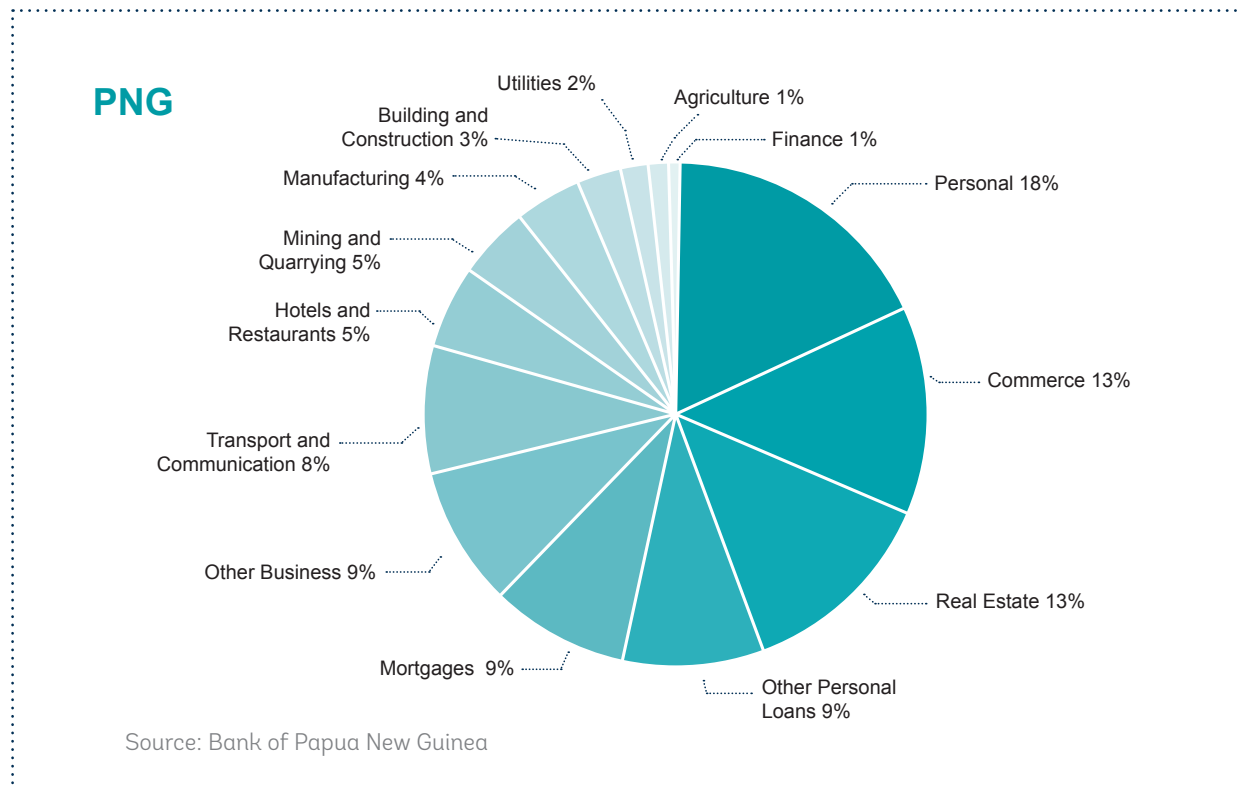
Banks primarily fund themselves with demand and time deposits (Figure 5), which account for over 70 percent of liabilities in most cases. In jurisdictions with their own currencies, demand deposits tend to dwarf time deposits, unlike in US dollar-based countries, due possibly to lower competition, which reduce incentives to attract time deposits. At the same time, countries with own their currencies hold higher capital as compared to US dollar-based peers. Foreign liabilities are very small in all of the PICs, likely the result of exchange restrictions in basket peg countries.

7. On the asset side, claims to private sector and central banks dominate.

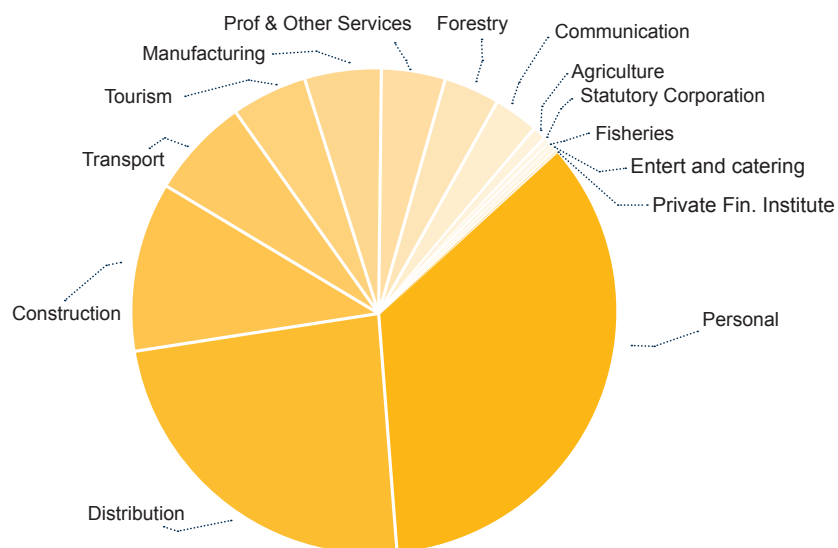
Banks either lend the attracted funds or deposit them with the central banks where relevant. As a result, these two types of assets are significant in the portfolio

of basket peg countries (Figure 6). Claims to the central government are substantial only in PNG banks, which hold significant domestic government debt. Unlike pegged exchange rate regimes, US dollar-based banking systems hold substantial claims on non-residents. While no granular data is available, these assets could potentially include US government debt, some of which could have lost value due to rising policy interest rates by the US Federal Reserve Board. Sectoral breakdown of loans is only available in countries with their own currencies, which report large concentration of lending in personal and real estate loans (Figure 7). Several smaller countries in the region lack mortgage lending due the absence of reliable land titles. Lending to tourism sector, such as hotels and restaurants, also accounts for a large share of total credit in Fiji and Vanuatu.

Figure 7. Sectoral breakdown of credit to the economy (percent of total credit)

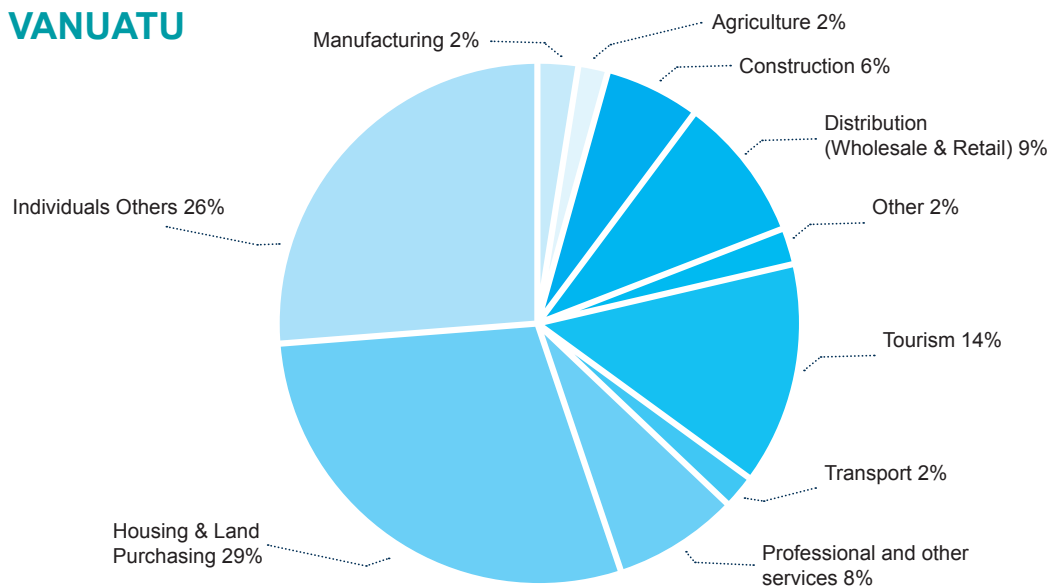


SOLOMON ISLANDS



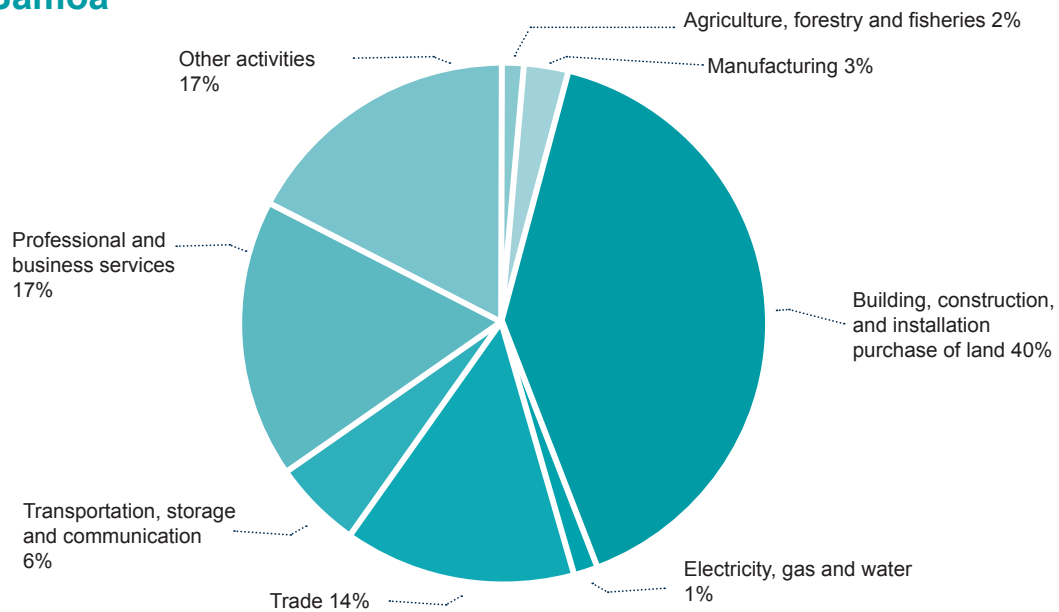
Source: CBSI

VANUATU



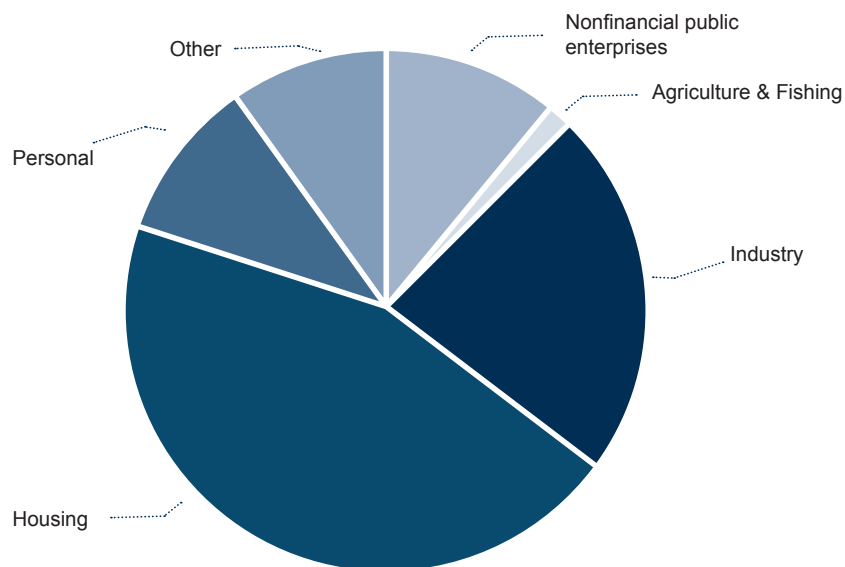
Source: Reserve Bank of Vanuatu

Samoa



1/ Including personal loans not classified elsewhere.
Source: Central Bank of Samoa

TONGA



Source: Natonal Reserve Bank of Tonga

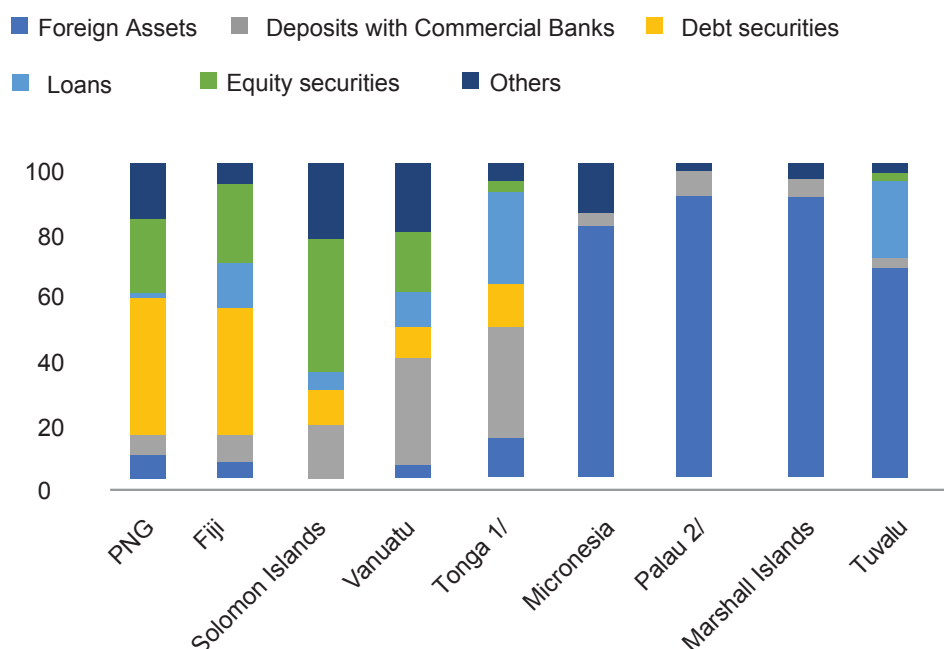
Non-bank financial sector

8. Pensions funds in countries with their own currencies, mostly invest locally.

All of the PICs have defined contribution provident funds, with the exception of Timor-Leste where retirement pensions are covered through the budget. The pension fund industry assets are significant in Fiji, Solomon Islands, Palau and Tuvalu, with over 30 percent of financial system assets (Figure 2). In basket peg

countries, the investment assets of pension funds are domestically focused (Figure 8), due to exchange rate restrictions. While all pension funds in these countries hold domestic government debt, the exposure to government is much higher in PNG and Fiji. On the other hand, pension funds in US dollar-based economies do not hold domestic debt, but reportedly are exposed to US government bonds and stocks among their foreign assets.

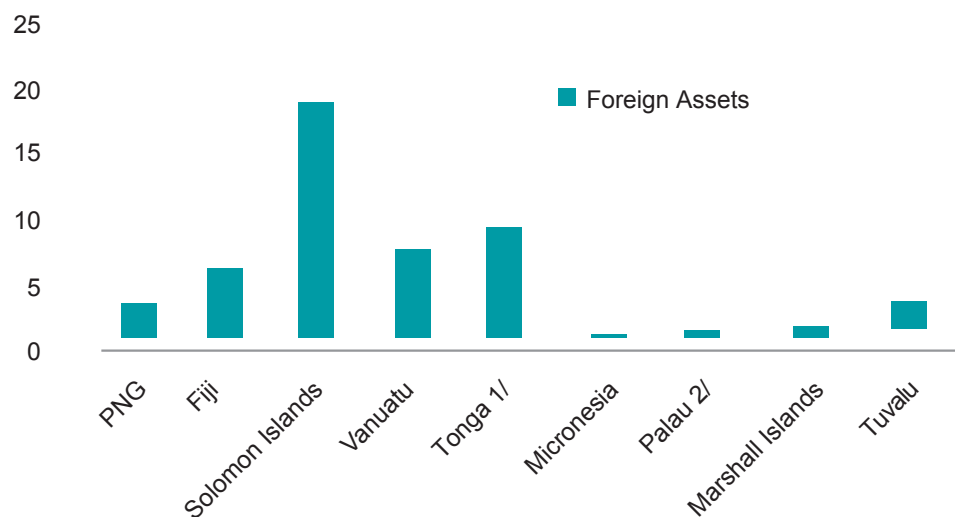
Figure 8. Pension fund assets



Source: Country authorities; IMF; and World Bank staff estimates.

1/ Based on Tonga Retirement Fund Board.

2/ Based on Palau Civil Service Pension Trust.

Figure 9. Pension fund deposits with banks (percent of total deposits)

Source: Country authorities; IMF; and World Bank staff estimates.

1/ Based on Tonga Retirement Fund Board.

2/ Based on Palau Civil Service Pension Trust.

9. Pension funds provide an important source of funding to local banks, while also competing in credit markets. In countries with their own currencies, provident funds hold a substantial amount of deposits in domestic banks. Such liabilities are relatively large in Solomon Islands, close to 20 percent of total banking system deposits. They are also non-negligible in Tonga, Vanuatu and Fiji resulting in interconnectedness with the banking system. In addition to providing an important funding source, pension funds also compete with banks in credit markets, by extending credit to their members, particularly in the mortgage market. Such lending assets form an important part of the asset portfolio of pension funds in Fiji, Vanuatu and Tonga.

10. Other financial system players include insurance companies, credit unions and money exchangers. Insurance companies and brokers are active in PNG, Fiji, the Solomon Islands, Vanuatu, Samoa and Tuvalu, and are mostly comprised of general insurance, life insurers and brokers. Credit Unions and

microfinance institutions share a small portion of the market and are mainly present in PNG, Fiji, Solomon Islands, Vanuatu, and Samoa. Money transfer companies operate in nearly all of the PICs, providing remittance services.

11. PICs capital markets are largely underdeveloped or absent, with the exception of Fiji and PNG. Fiji's capital market is small and consists of an equity market, a unit trust market, and a bond market. South Pacific stock exchange has 19 listed entities, with a total market capitalization of US\$ 1.4 billion as of December 2022 (32.5% of GDP). The bond market, which is primarily composed of government debt instruments, accounts for around 58% of Fiji's capital market, followed by the equity market at around 36% and the unit trust market at around 5%. PNG also has a stock exchange, while efforts are ongoing to develop secondary market for debt instruments. The PNG National Stock Exchange has 13 listed companies with a total market capitalization of US\$ 20.3 billion as of October 2021 (approx. 74% of GDP).

A background image showing a laptop on a desk with a hand holding a pen writing on a notepad. The image has a blue tint.

2.

POST-PANDEMIC
DEVELOPMENTS IN THE
FINANCIAL SECTOR OF PACIFIC
ISLAND COUNTRIES.

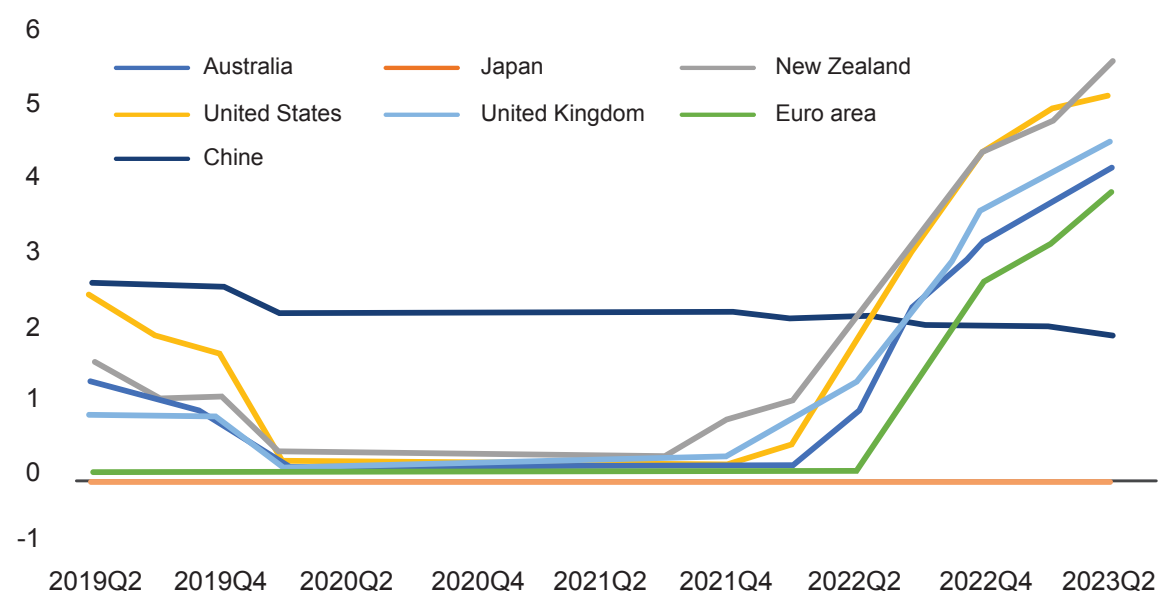


Global and Regional Financial developments

12. Global financial conditions tightened significantly since early 2022. The 2022 spike in global commodity prices, triggered by the war in Ukraine, exacerbated already elevated global inflation. For central banks, the risk of inflation expectations becoming unanchored rose significantly. To prevent this, all major central banks, led by the US Federal Reserve Board, have unleashed the most aggressive monetary policy tightening cycle in

recent history (Figure 10). As a result, global financial conditions tightened significantly, with sharp rises in borrowing costs and increases in Emerging Markets Bond Index (EMBI) spreads in countries with weaker economic fundamentals. Most asset classes also experienced price corrections, although some have recovered slightly recently. Nevertheless, rise the in global yields significantly depressed the current market prices of government and corporate bonds issued during the period of 'easy money' (IMF, 2023a).

Figure 10. Central bank policy interest rates (percent points)



Source: IMF International Financial Statistics; ECB; RBA; Fed; RBNZ; BoJ; BOE.

13. Due to the combination of tighter monetary conditions, aggressive risk taking and weak risk management practices, some banks in advanced economies have failed. The first failure was that of Silicon Valley Bank which leveraged rapid deposit growth to take aggressive interest rate bets that were ill-timed. The failure of Signature Bank was caused by a crisis of confidence following Silicon Valley Bank's failure, which made Signature Bank's existing challenges unmanageable. Following these two failures and a statement

from its largest shareholder that it did not plan to provide more capital, Credit Suisse faced liquidity outflows that jeopardized its viability. These events quickly spread to banks and financial markets across the world, causing a sell-off in bank stocks. The forceful response by authorities seems to have calmed the markets for now. Furthermore, these events are estimated to have significantly tightened the credit conditions, causing market participants to scale back their expectations about the future course of monetary policy (IMF, 2023a).

14. Future monetary tightening is expected to be data-dependent, driven by the easing inflation and still tight labor market.

Turmoil in the banking system failed to deter the US Fed from further tightening monetary policy, given its ability to ensure the financial system had enough liquidity to cover its needs. On the other hand, the US inflation declined below 3 percent in June 2023, while the US labor market continued to remain strong. Going forward, incoming data on softening inflation, along with the further dynamics in the labor market and wage growth will determine the path of policy rate. Similar data dependent approaches on monetary policy are also being pursued by the European Central Bank (ECB) and other major central banks, where decline in inflation has been relatively slower.

15. Financial conditions are also tightening in major economies in the East Asia and Pacific region.

High inflation is leading to tighter financial conditions in the East Asia and Pacific (EAP) region as well. In the first half of 2022, monetary policy in major EAP economies was more accommodative than in other emerging and developing economies, but began to tighten in the second half (World Bank 2023a). To address rising inflationary pressures, some countries in the region raised domestic interest rates, which helped ease pressures on exchange rates. In recent months, declining outlook on inflation, helped by easing commodity prices, contributed to pause in tightening of monetary policy. Financial soundness indicators in the EAP region show most banks report adequate capital levels and low non-performing loans (NPLs). However, the systemwide averages mask idiosyncratic vulnerabilities in several countries, which stem from uneven distribution of bank strength, high indebtedness, low liquidity and unfavorable macro-financial dynamics (e.g., Lao PDR, Thailand, Vietnam and Mongolia).

Recent economic developments in the Pacific Island Countries

16. The Pacific Island Countries are recovering from the COVID-19 and global inflation shocks.

The region was hit hard by the pandemic, with output contractions as high as 20 and 25 percent between 2019 and 2021 in Fiji and Palau, respectively (Figure 11). Kiribati and Nauru are the only two economies in the Pacific that were relatively spared from the impact of the pandemic. While most economies started to recover, growth performance was mixed in 2022, due to uneven border re-openings, travel normalization, natural disasters, Omicron outbreaks and country circumstances. Tourism-dependent Fiji is estimated to have rebounded strongly in 2022, with a growth rate of 15 percent, while Palau is estimated to have experienced a third consecutive contraction of 2.5 percent, due to slow rebound in tourism (World Bank, 2023b). For several countries in the region, the lackluster growth in 2022 reflects the co-influence of factors related to slow reopening of borders (Samoa and Solomon Islands), the Omicron outbreaks (Samoa, Solomon Islands, Micronesia, Tonga) and natural disasters (Tonga). Moderate economic growth ensued in the remaining dollarized PICs throughout 2022, as normalization in travel contributed to trade and labor flows much needed for large investment projects.

17. The current account balances also improved in 2022.

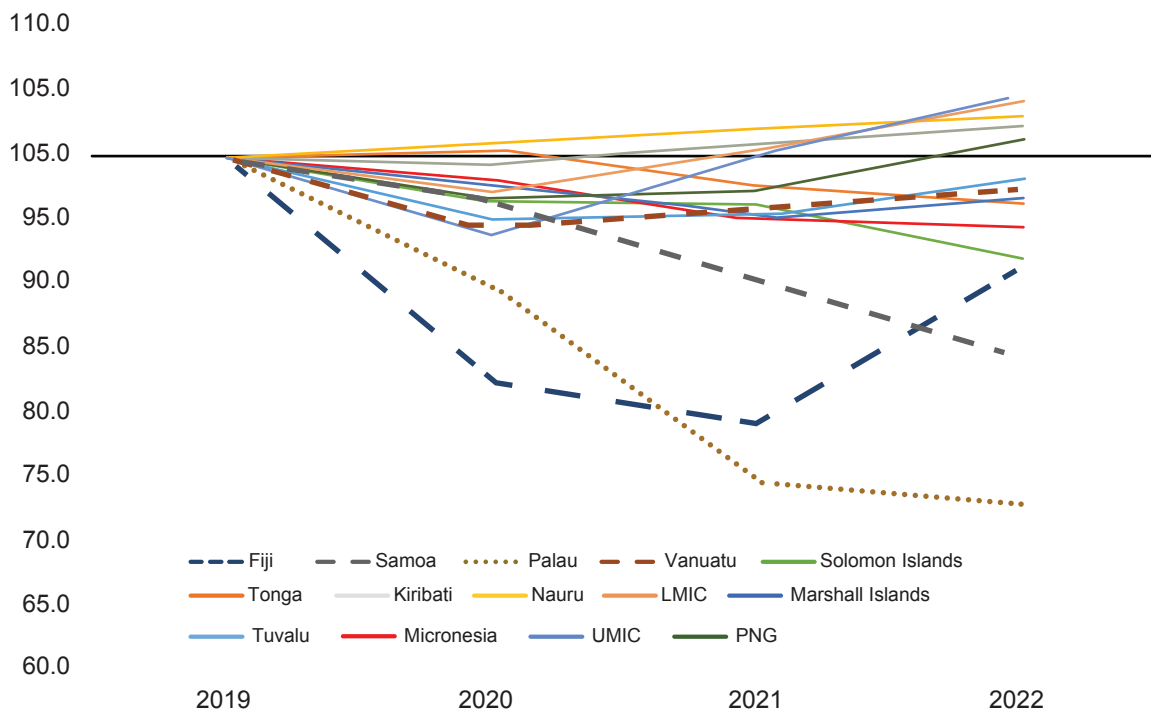
Tourism exporting PICs (Fiji, Palau, Vanuatu and Samoa) continued to register current account deficits, given slow recovery in tourism exports, and rising import bill from higher commodity and shipping prices through 2022. PICs that relied on oil and fish exports (PNG, Nauru, Kiribati, RMI, FSM and Tuvalu), on the other hand, benefitted from positive terms of trade, and registered either smaller deficits or surpluses in their current account. Remittances held up surprisingly

well throughout the pandemic, contributing to current account balances in several countries (Fiji, Samoa, Marshall Islands, Tonga, and Vanuatu). External grants continued to play an important role in financing current account deficits and critical investment in human and physical capital in PICs.

18. Monetary policies remained accommodative. Global monetary and financial conditions did not impact PIC central bankers policy stances. Throughout 2022, and in the first half of 2023, most PICs with their own currencies maintained accommodative monetary policy stances by keeping domestic policy rates low, despite the basket peg and

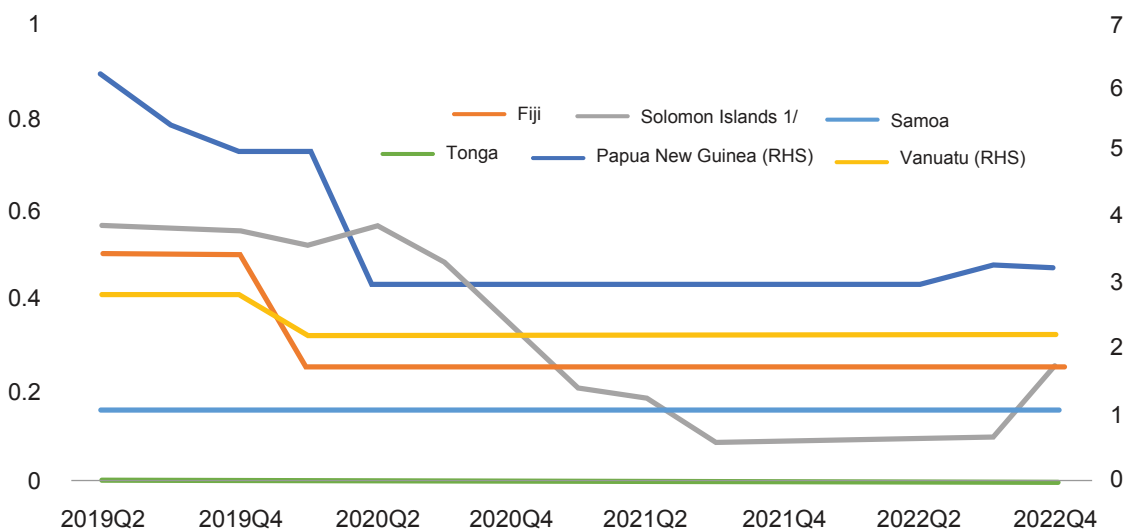
continued monetary tightening in anchor currencies (Figure 12). In their decisions, PIC central banks often cite the comfortable outlook for inflation, which has been declining since late 2022 and the existence of room to support the nascent economic recovery. The prevalence of exchange rate restrictions on capital, and sometimes on current accounts enable these countries to deviate from the policy rates in anchor currencies. Nevertheless, domestic lending rates remained high in all of the PICs, given structural factors (e.g., limited competition). In an environment of low deposit rates, this resulted in one of the highest interest margins in the world (Figure 13).

Figure 11. GDP loss relative to 2019 level (2019 = 100)



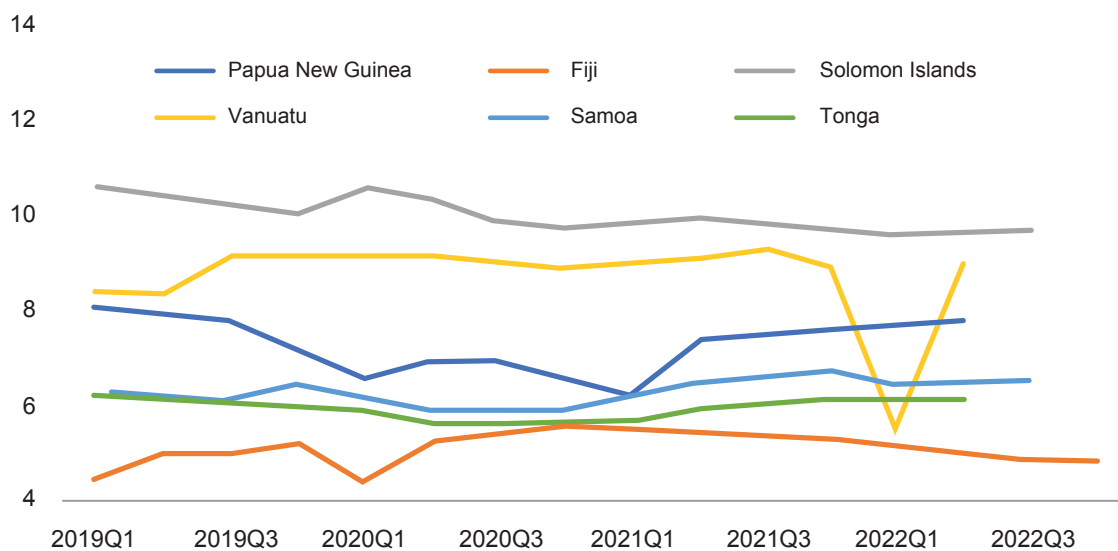
Source: Country authorities; and World Bank staff estimates

Figure 12. Central bank policy rates in PICs (percentage points)



Source: Country authorities
1/ Based on 28-day Bokolo Bills of CBSI

Figure 13. PICs: Bank lending-deposit rate spreads (percentage points)

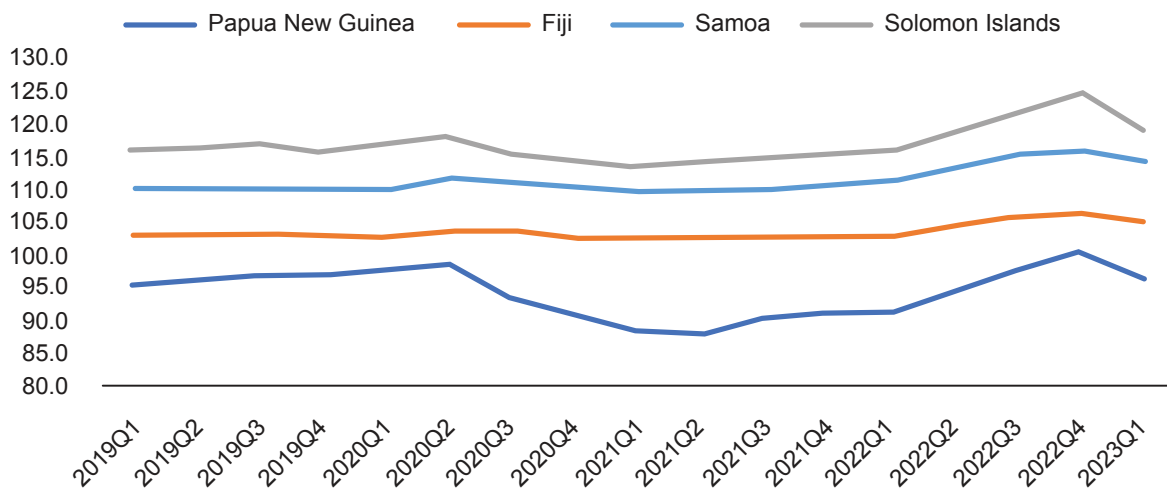


Source: Country authorities; World Bank staff estimates.

19. Bilateral exchange rates against the US dollar depreciated marginally. Due to the official basket peg arrangements in Fiji, Solomon Islands, Vanuatu, Samoa and Tonga and de facto peg-like arrangement in PNG, nominal effective exchange rates (NEER) were relatively stable in countries with their own currencies (Figure 14). Bilateral exchange

rates against the US\$ slightly depreciated in countries with exchange rate pegs in 2022, given the US\$ strength, while remaining stable in PNG (Figure 15). Other bilateral exchange rate changes vs key trading partners, such as Australia and New Zealand, reflected the cross movements in the basket of currency pegs.

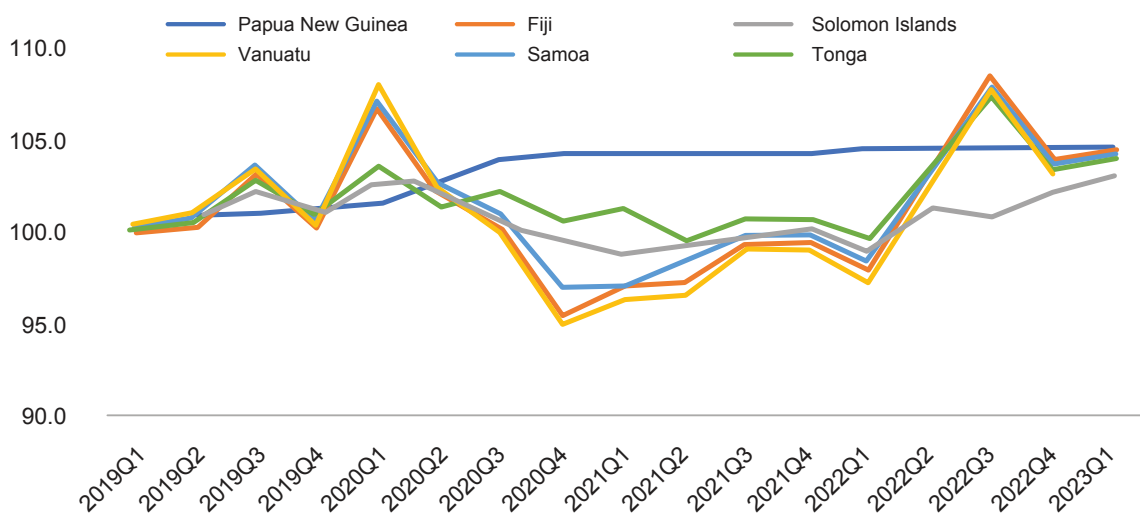
Figure 14. Nominal effective exchange rates (index)



Source: IMF

1/ No data was available for Tonga and Vanuatu

Figure 15. Exchange rates vs US\$ (2019Q1=100)



Source: IMF, World Bank staff estimates.

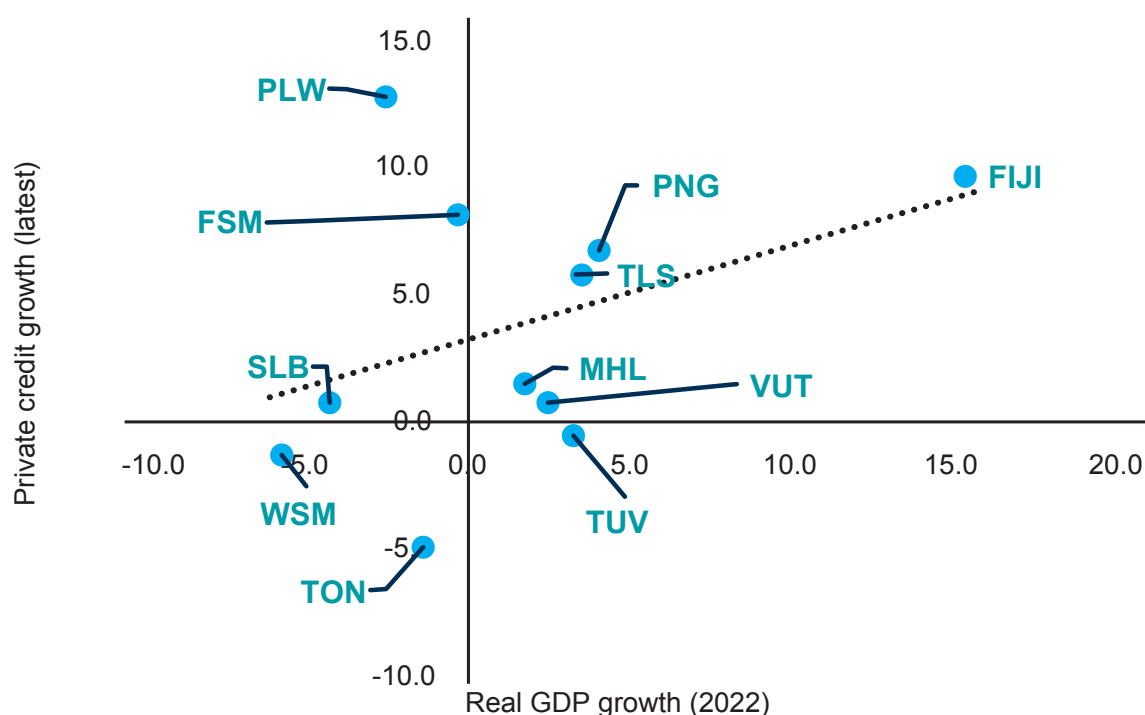
Recent banking sector developments

20. The banking systems of PICs weathered the deep pandemic recession surprisingly well, but structural weaknesses remain. The financial systems of PICs seem to be on track for a gradual recovery, based on the reported data of the banks (Table 3). The impact of the pandemic was less severe than initially feared, even in jurisdictions that saw the sharpest GDP contractions, such as Palau, Fiji and Samoa. Amidst the early signs of economic recovery, bank earnings and private sector lending started to increase in most countries. While asset quality remains poor in some countries, sometimes due to legacy issues prior to the pandemic, the overall trend is on a declining path. All of the PICs' banking systems report high capitalization and liquidity levels. So far, the region has been spared from the negative impact of banking sector turmoil in advanced economies. Having said that, PICs are not as well equipped as other countries to deal with

financial sector stress and contagion due to the undeveloped bank recovery and resolution frameworks as well as significant gaps in crisis management and financial safety nets.

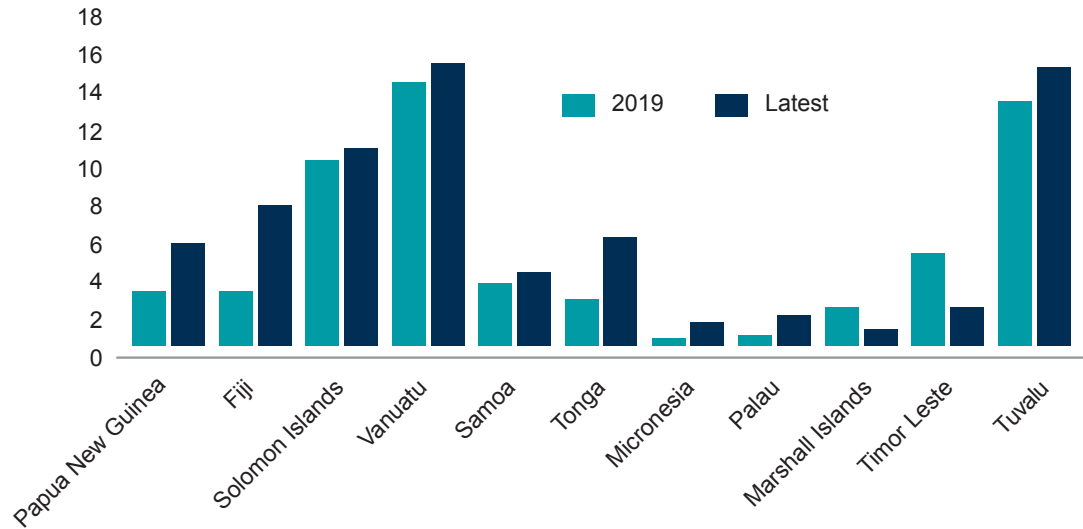
21. Private sector credit started to grow, driven by travel normalization and economic recovery. The private credit has been gradually increasing in the region, mostly driven by countries that are experiencing stronger rebounds in economic activity (paragraph 16). In two largest economies of the region, PNG and Fiji, lending to the private sector grew by 6.8 and 9.7 percent year over year in 2022, respectively (Figure 16). Palau also experienced strong private sector growth in 2022, which bodes well for the expected economic recovery in 2023. Strong rebound in tourism and travel normalization has contributed to private sector lending in Fiji and Palau. On the other hand, private credit declined by 5 percent in Tonga in 2022Q2, given the country was experiencing the natural disaster shock (Table 3).

Figure 16. GDP growth and private credit (percent)



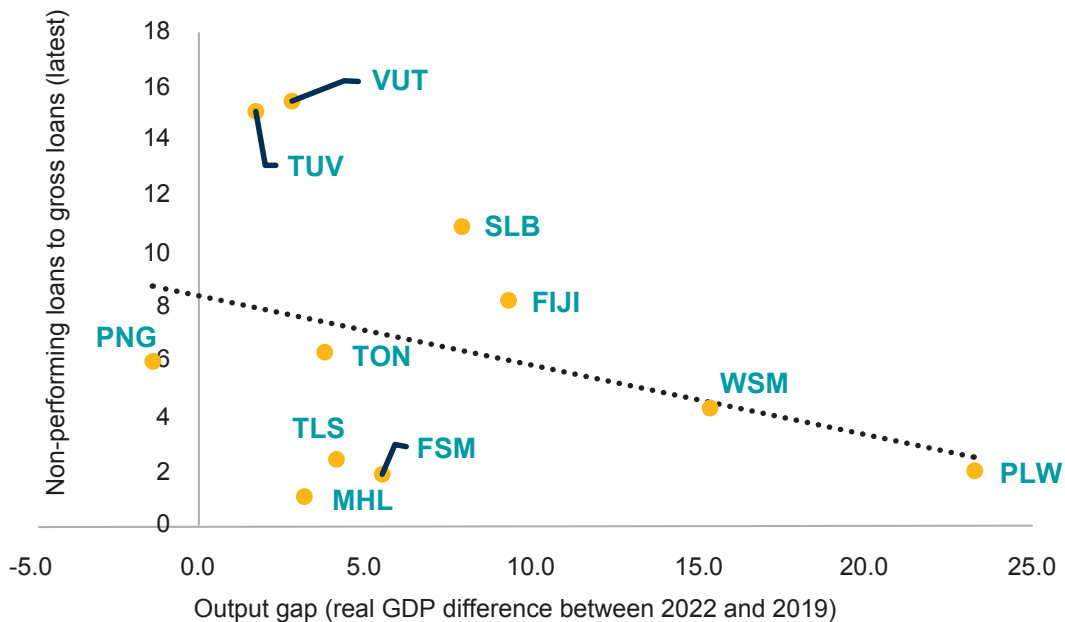
Source: Country authorities; IMF and World Bank staff estimates.

Figure 17. Non-performing loans to gross loans (percent)



Source: Country authorities; IMF

Figure 18. Output gap and NPLs1/ (percent)



Source: Country authorities; IME; and World Bank staff estimates.

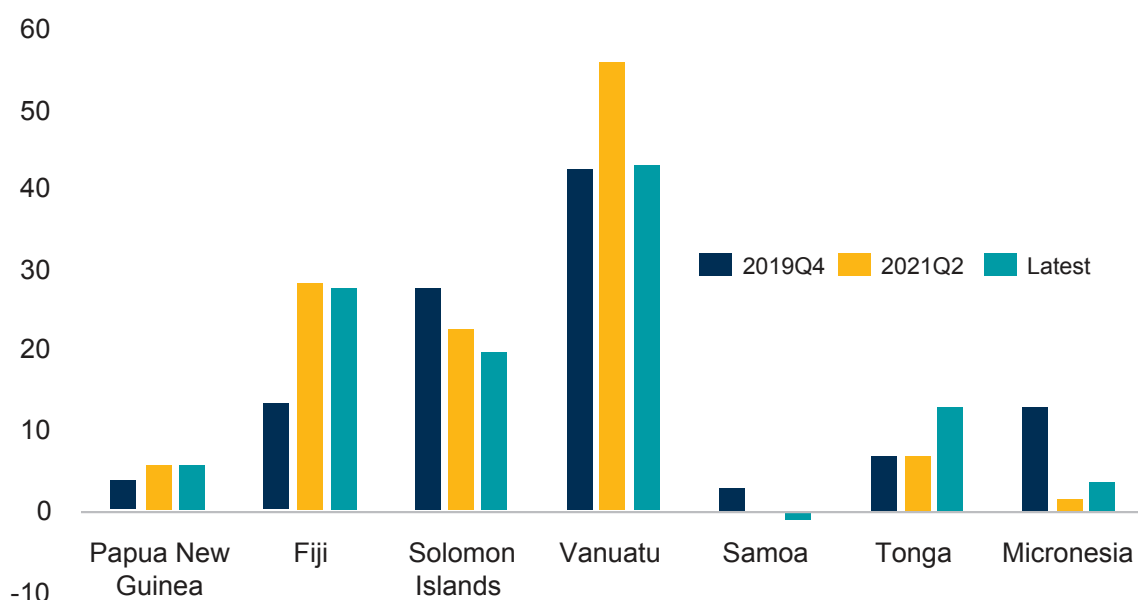
1/ Given the difficulty of estimating potential output in PICs, due to the impact of frequent natural disasters, output gap is defined as the difference between the pre-pandemic and the latest GDP.

22. Non-performing loans started to decline but remain high in several countries.

The non-performing loans to gross loans ratio (NPL) has been on a declining trend since mid-2022 in the PICs (Table 3). The only exception is Tonga, where the NPLs started to inch upwards in 2022, due to the double shocks of the pandemic and a volcanic eruption with a tsunami, reaching 6.3% in 2022Q2. Despite slight reduction from their peaks, NPLs remain elevated in Vanuatu, Solomon Islands and Fiji. In the former two countries, pre-covid legacy issues, stemming from high NPLs in investment property loans

(Solomon Islands) and poor credit standards amid efforts to promote financial inclusion (Vanuatu), largely explain structurally high NPLs (Figure 17). In Fiji, most of the uptick was down to the effect of pandemic, with the latest ratio of 8.2 (2022Q3) standing more than the double of the pre-pandemic level. Figure 18 clearly indicates the lack of significant relationship between the deep recession and rise in NPLs. It seems both fiscal stimulus and regulatory support measures (Box 1) helped to dampen the impact of the pandemic on NPLs.

Figure 19. NPLs net of provisions to capital (percent)



Source: IMF; Country authorities

23. Provisions to NPLs are low in many countries.

With the exception of Samoa, where banks significantly increased provisions during the pandemic, provisioning levels remain relatively low (Figure 19). While this might not be a cause for concern in jurisdictions with

low NPLs, this creates financial stability risks in countries with high NPLs. In Vanuatu, for instance, the levels of NPLs after provisions stood at over 40 percent of capital, even after its peak. The same ratio is also relatively high in Fiji and Solomon Islands.

BOX 1. Status of COVID-19 related regulatory forbearance measures on NPLs

PICs adopted comprehensive measures to cushion the impact of the pandemic.

In addition to significant fiscal support, the authorities also implemented financial sector measures aimed at mitigating the economic and social hardship. In the financial sector, authorities adopted a range of measures including loan repayment holidays and debt service moratoria, macro and micro prudential initiatives as well as enhanced supervisory monitoring and assessment.

The measures on NPL recognition and provisioning lapsed in all countries that implemented them. As of 2023Q1, all countries that implemented these regulatory forbearance measures on NPLs phased them out. As such, the latest NPL figures represent relatively clearer picture on asset quality. These measures provided relief during the pandemic.

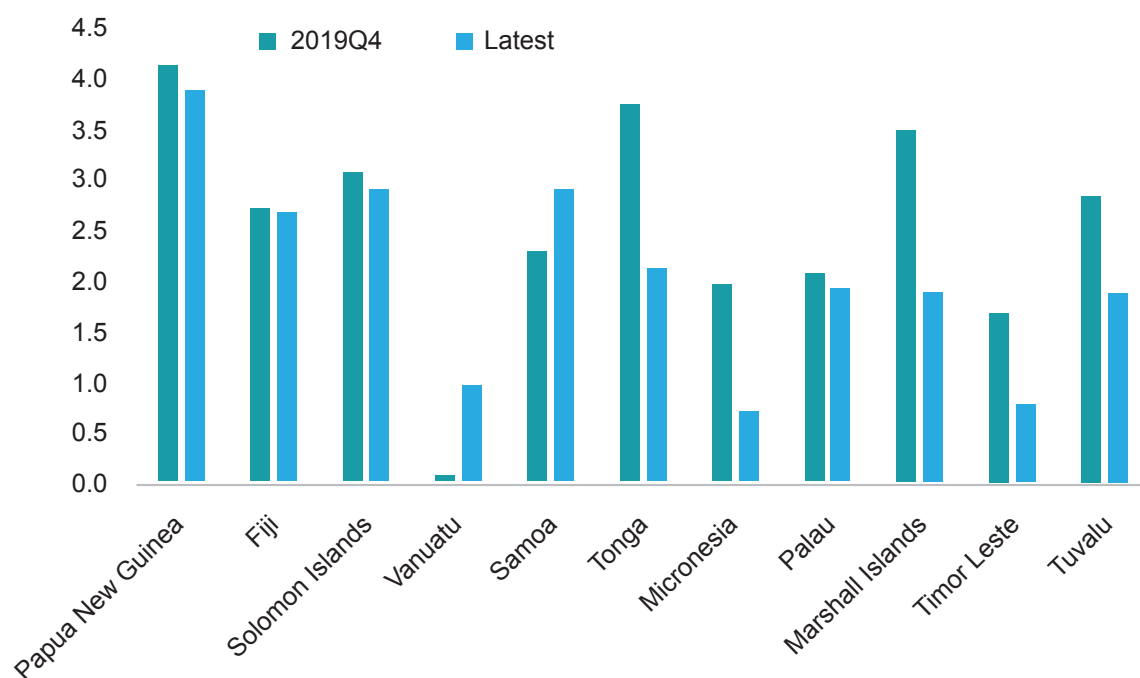
Relaxation of NPL recognition and provisioning		
	Countries implemented	Status as of 2023Q1
Papua New Guinea Fiji	✓	lapsed
Solomon Islands	✓	lapsed
Vanuatu	✓	lapsed
Samoa	✓	lapsed
Tonga	✓	lapsed
Micronesia		
Palau	✓	lapsed
Marshall Islands		
Timor Leste	✓	lapsed
Tuvalu		
Kiribati		
Nauru		

Source: IMF; World Banks staff estimates

24. Reflecting the economic recovery, bank earnings are also rising. Return on assets (ROA) started to increase across all countries in the region, supported by post-pandemic economic rebound. ROA in PNG reached 8 percent in 2022Q3, before declining to 4 percent in 2022Q4, one of the highest levels in the Pacific along with the Solomon Islands (Figure 20). High revenues from foreign

exchange transactions and a rise in the overall transaction volume were the key contributors to profitability. ROA also rose in Fiji, to regain pre-pandemic levels of earnings to asset ratio at 2.7 percent in 2022Q3. Similar improvements ensued in the remaining countries of the region, with slightly lower profitability in the US\$-based economies, due to greater banking competition and relatively greater stages of development.

Figure 20. Return on Assets (percent)



Source: IMF; Country authorities

Table 3. Pacific Island Countries: Banking sector heatmap

	2019	2020				2021				2022			
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Credit to the economy (2019Q4=100)													
Papua New Guinea	100	105	105	105	104	104	105	105	104	108	107	112	111
Fiji	100	100	100	100	98	99	99	100	101	103	106	109	110
Solomon Islands	100	100	100	100	99	100	100	99	98	100	99	102	101
Vanuatu	100	100	99	99	99	98	99	99	99	100	99		
Samoa	100	100	99	103	104	102	103	104	104	104	102	103	
Tonga	100	103	101	100	100	99	97	94	93	92	92		
Micronesia	100	101	100	98	98	94	93	98	99	103	107	104	108
Palau	100	98	98	95	92	87	86	88	84	89	89	91	95
Marshall Islands				104	100	97	97	99	98	98	98		
Return on assets (percent)													
Papua New Guinea	4.1	5.8	4.7	4.7	3.8	5.7	5.2	7.8	4.3	6.2	5.7	7.9	3.9
Fiji	2.7	2.9	0.6	0.7	1.1	1.7	1.4	1.3	1.6	2.4	2.9	2.7	
Solomon Islands	3.1	3.0	1.8	2.1	2.1	2.1	2.5	2.5	2.3	2.0	2.9	4.4	
Vanuatu	0.1	0.5	0.5	0.1	-0.1	1.1	0.8	1.0	0.8	0.9	1.0		
Samoa	2.3	5.2	2.2	2.2	2.7	3.4	2.5	2.5	2.9	4.6	2.1	2.9	
Tonga	3.7	2.3	1.7	1.9	2.2	1.0	2.4	2.3	2.4	1.6	2.1		
Micronesia	2.0	1.5	1.2	1.1	1.0	0.6	0.6	0.9	0.7	0.8	0.7	1.6	1.6
Palau				1.1	1.1	3.3	2.5	1.9	1.1	0.9	1.1	1.3	1.6
Marshall Islands	3.5	3.9	3.3	1.9									
Non-performing loans to total gross loans ratio (percent)													
Papua New Guinea	3.8	4.2	4.6	5.0	5.3	6.1	5.9	5.6	6.2	6.0	6.3	6.2	4.8
Fiji	3.8	4.3	5.5	5.4	6.2	7.4	9.0	9.3	8.5	9.0	9.0	8.2	
Solomon Islands	10.4	11.4	11.8	10.1	10.6	10.8	11.4	9.9	10.4	11.3	10.9	10.6	
Vanuatu	14.3	15.5	16.4	17.3	19.0	16.6	17.2	16.5	15.8	16.3	15.4		
Samoa	4.0	3.7	2.9	2.9	3.8	3.7	3.7	3.5	3.6	4.4	4.6	4.3	
Tonga	3.2	3.8	4.1	4.3	3.7	3.6	3.3	3.9	3.5	4.3	6.3		
Micronesia	0.3	0.2	0.1	0.1	0.1	0.3	0.2	0.2	0.3				
Palau				1.3	1.56	1.63	1.36	2.03	0.31	0.54	0.57	0.69	0.6
Marshall Islands	2.2	2.8	1.6	1.1									

	2019	2020				2021				2022			
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
	Capital to risk-weighted assets ratio (percent)												
Papua New Guinea	36.1	37.2	36.0	37.5	39.2	39.6	38.4	39.6	41.1	36.3	37.6	38.4	30.4
Fiji	18.5	19.1	18.9	19.3	19.7	22.2	21.2	21.4	21.1	20.8	20.9	21.1	
Solomon Islands	31.3	32.2	28.4	29.9	32.6	33.7	32.6	32.3	31.7	30.3	29.5	29.8	
Vanuatu	19.2	19.2	19.6	21.5	20.0	21.0	21.5	22.5	22.2	23.3	22.5		
Samoa	27.8	29.1	28.7	29.4	27.9	28.5	28.1	28.4	29.1	30.8	28.8	30.3	
Tonga	28.8	33.2	31.6	31.2	30.5	33.7	31.4	32.0	31.7	34.5	33.6		
Micronesia	35.2	40.7	34.2	40.5	37.6	41.1	40.6	38.0	37.2				38.5
Palau													
Marshall Islands													
	Liquid assets to total assets ratio (percent)												
Papua New Guinea	17.7	16.3	16.7	16.0	18.3	18.0	18.6	18.2	18.9	19.7	17.4	19.9	22.5
Fiji	17.1	16.6	17.7	19.7	18.8	21.0	25.1	24.8	27.6	28.2	29.5	29.8	
Solomon Islands	37.5	37.4	39.3	42.2	45.7	45.1	46.9	48.5	46.8	46.7	45.6	46.3	
Vanuatu	43.6	44.2	44.2	44.0	44.0	45.8	44.8	46.5	46.7	47.6	47.3		
Samoa	16.0	17.7	16.8	17.8	17.8	17.9	19.9	16.5	17.6	18.1	17.7	18.4	
Tonga	25.7	26.5	27.9	31.0	34.4	34.6	40.2	40.2	41.1	43.4	44.5		
Micronesia	62.2	61.9	58.9	60.4	58.5	64.4	66.9	67.4	67.4				60.4
Palau													
Marshall Islands													

Source: Country authorities; IMF; and World Bank staff estimates.

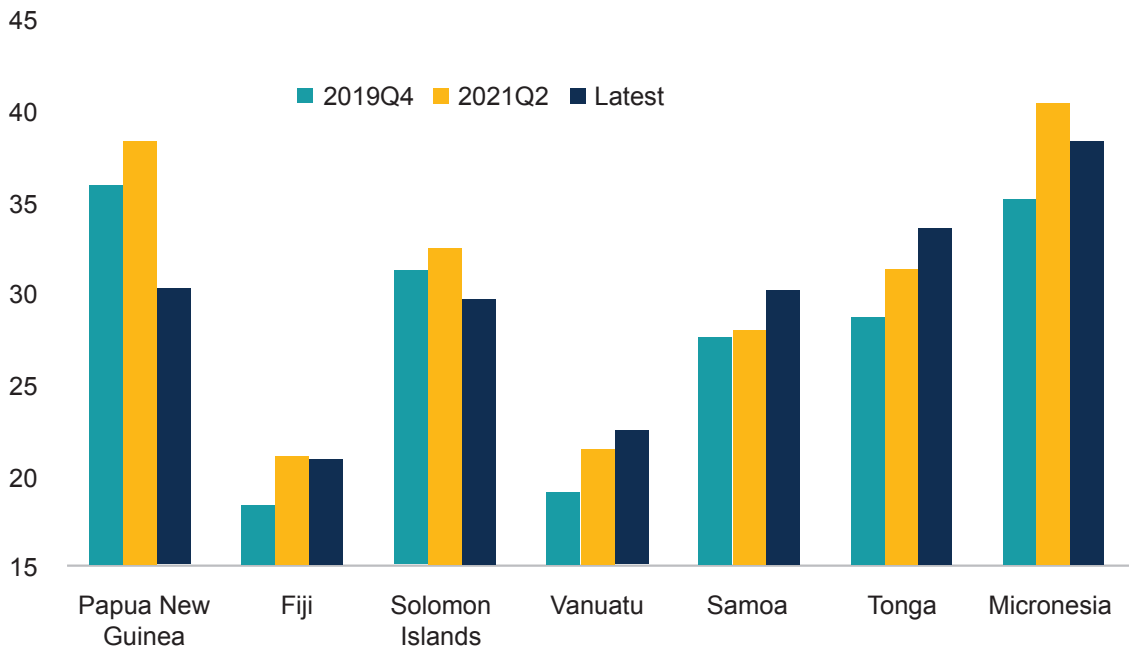
1/ Based on calendar year

Colour Codes: Low Risk Moderate Risk High Risk

25. Banks are well capitalized and liquidity is ample. The banking systems of PICs continue to report strong capital buffers, with capital to risk-weighted assets ratios (CAR) ranging from 21 to 39 percent as per the latest data (Figure 21). Regulatory capital is generally of the highest level and mostly consists of Tier 1 capital.

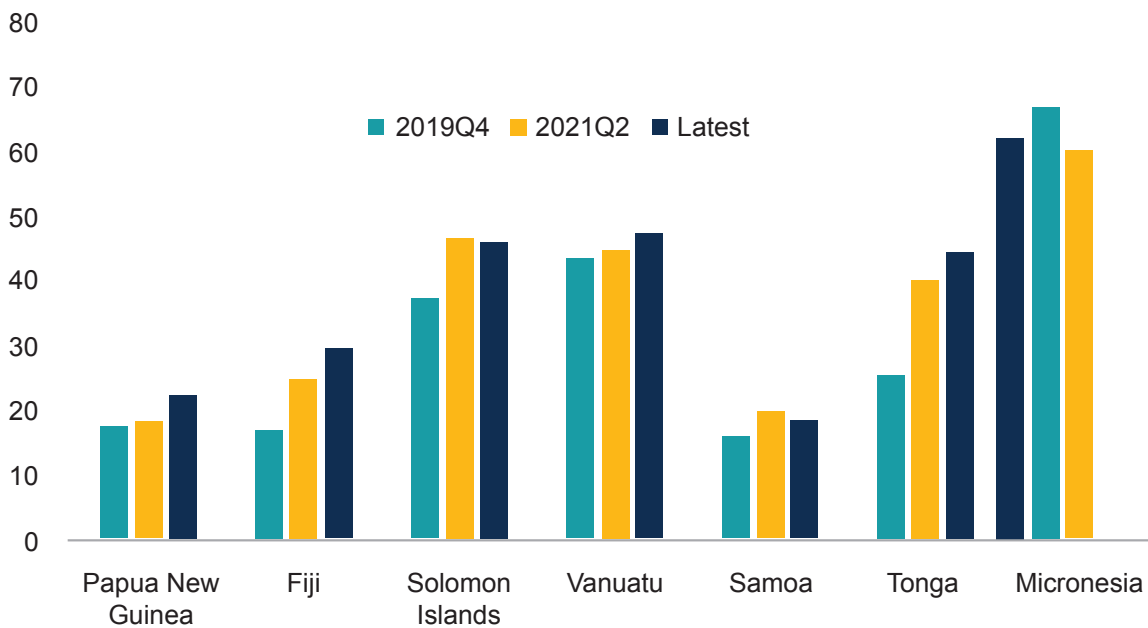
Bank liquidity has remained high, after trending upwards during the pandemic, given the limited lending opportunities and risk appetite (Figure 22). In countries with their own currencies, most of this liquidity was kept in the form of demand deposits at the central bank.

Figure 21. Capital adequacy ratio (percent)



Source: IMF; Country authorities

Figure 22. Liquid assets to total assets (percent)



Source: IMF; Country authorities

Vulnerabilities in the financial sector going forward

26. Strength in asset quality, liquidity and capitalization is unevenly distributed in some countries.

PICs are not yet out of the woods with their post-pandemic recoveries. As such, the risk of further deterioration in asset quality is high, given still elevated levels of past due loans and the erosion of real wages due to inflation. Low provisions to NPLs, particularly in countries with high NPLs, is also a concern (Fiji, Vanuatu and the Solomon Islands). Moreover, while systemwide data on asset quality, liquidity and capitalization paints a more benign picture, some banks reportedly face liquidity shortages and much higher NPLs than the system averages.

27. Banks are vulnerable to concentration risks, both on the assets and liabilities side.

Given the undiversified economies, bank loans are also less diversified, with significant share of lending to certain sectors of the economy, as well as to consumer and real estate loans. Loan concentration is also an issue in several countries. On the liabilities side, concentration risks are present in some banks, particularly, in those countries which rely on deposits from pension funds (Solomon Islands, Tonga, Vanuatu and Fiji). In some countries, pension funds provide a substantial source of funding to prop up liquidity shortages in domestic publicly owned banks (Solomon Islands, Fiji, Tonga and Vanuatu). Finally, a small number of banks, presents a vulnerability for the whole system, through spillovers of problems. The banking system is very concentrated in Tuvalu, PNG, Micronesia, Palau and the Solomon Islands.

28. Besides PNG and Fiji, the quality and intensity of prudential supervision is relatively low, given the broader context of limited technical capacity in the PICs.

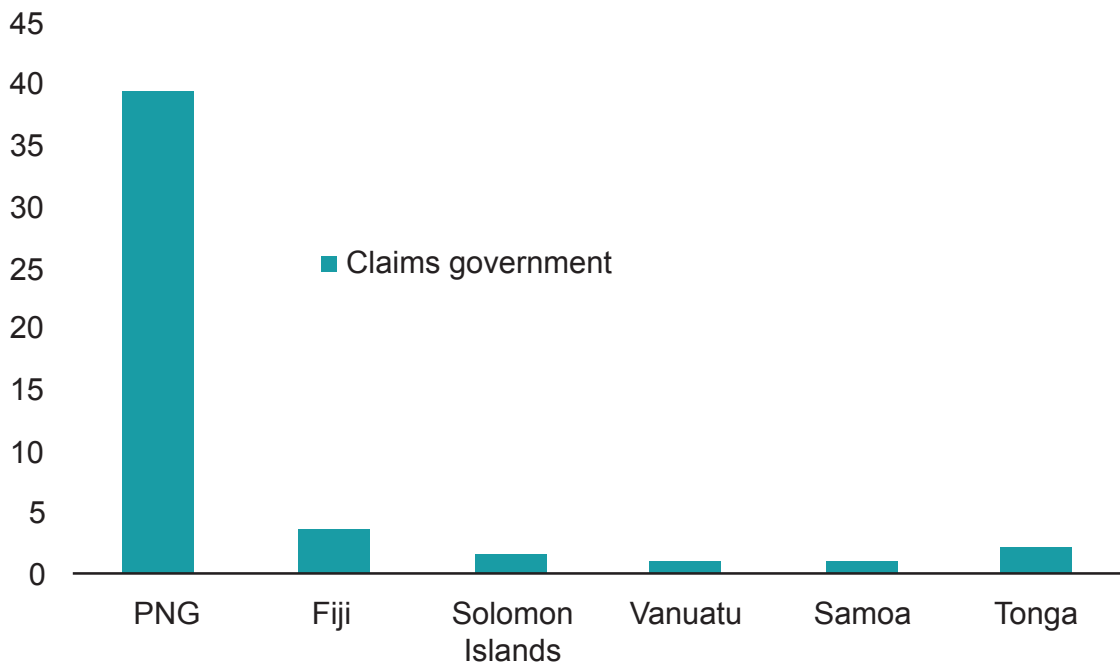
Low population size and density, remoteness, the lack of economies of scale and the relatively earlier stages of development result in low human capital and technical capacity in PICs. This is also reflected in the quality of prudential supervision of the financial sector, which is

mainly compliance-based rather than risk-based in most countries. Off-site supervision focuses on compliance with capital, asset quality, liquidity and exposure concentration regulations, rather than a risk-based evaluative and forward-looking approach (World Bank, 2022a). While on-site examinations are undertaken in most of the countries, their effectiveness can be hampered by a lack of well-qualified staff. Most jurisdictions lack early warning indicators and stress testing indicators, given the limited technical capacity due to insufficient staff with the necessary skills, knowledge and experience. These impact the ability of supervisory authorities to detect emerging stress at an early stage. Some countries have made considerable progress in building capacity in surveillance, stress testing and on-site supervision. For instance, Fiji has strengthened its stress testing framework. In PICs with little regulatory presence, such as with Micronesia and Palau, there is limited scope to detect or respond effectively to localized financial system stress (World Bank, 2022a).

29. PICs largely lack deposit insurance, which increases the risk of bank runs, contagion and bail-outs by the government.

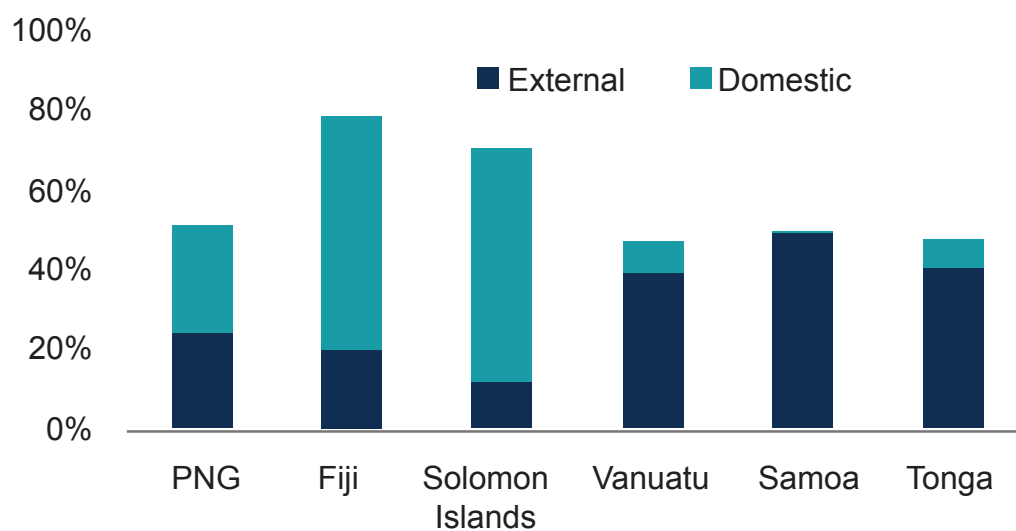
Banks face inherent liquidity risk due to their reliance on short-term funding and the long-term nature of their assets (loans to households and businesses). As a result, the very nature of banks' business models makes them vulnerable to depositor runs, as has been recently experienced by regional banks in the US. The maturity mismatch between banks' funding and assets creates a particular vulnerability to illiquidity in periods of loss of confidence by depositors. With the exception of Palau, Marshall Islands and Micronesia, none of the PICs has a formalized deposit insurance scheme, creating risks for the stability of the financial system in situations where an individual bank or the banking system as a whole finds itself in distress. The lack of a formalized depositor protection framework increases the risk of deposit runs on banks and non-bank depositor-takers, with the potential for inter-bank contagion and banking crisis, resulting in costly 'bailouts' by governments (World Bank, 2022b).

Figure 23. Bank claims on government (Percent of total assets)



Source: Country authorities; IMF; and World Bank staff estimates

Figure 24. Public debt in select PICs (2021, percent of GDP)



Source: IMF and World Bank staff estimates

30. Banks in PNG, Fiji and Palau are exposed to sovereign credit risk.

Given the lackluster performance of private credit during the pandemic, banks in some countries have mostly invested in risk-free government papers. For instance, in the case of PNG, the holdings of central government T-bills and bonds nearly doubled between 2019Q4 and 2022Q4, to 13.9 billion Kina (34% of bank assets, 11.6% of GDP). Moreover, most pension funds also own significant domestic government bonds in their portfolio (Figures 23 and 24). Direct holdings of significant government debt could jeopardize stability should the sovereign experience problems servicing their debt obligations. Even in the absence of direct exposures, banks could be impacted through their deposit liabilities to pension funds. These risks remain relevant in countries with high public debt burdens and sovereign linkages, such as, Fiji, Palau and PNG. The US\$-based jurisdictions also reportedly hold significant US-government debt, which might have lost their market values in an environment of rising monetary policy rates.

31. Most PICs are highly vulnerable to natural disasters and changing climate, which could lead to significant stress to the economy and the financial sector.

PICs are the most vulnerable region to natural disasters, the frequency and severity of which are expected to increase. PICs also face transitional and physical risks from changing climate, with significant exposure to physical risks. The increase in the frequency and severity of natural disasters such as, rising tides, floods and droughts affect the efficiency of public spending in PICs as resources need to be redirected towards infrastructure, social and productive policy for the replacement of basic public goods and services. The impacts of these events, in turn, affect the ability of households and businesses to assume their financial responsibilities while damaging the value of properties and assets. In the case of banks, damages caused by these events not only translate into financial risks due to the materialization of operational risk, but also due to credit and market risks. Magnitude and frequency of losses could make insurance unviable, increasing the financial burden on the profitability and ultimately on banks' capacity to grow and extend credit to the economy.

Policy recommendations

32. Quality of supervision should be enhanced, with early warning and early intervention tools and close examination of loan loss provisioning practices.

Authorities should continue their efforts to enhance the quality of supervision and improve the availability and assessment of financial data in all PICs. Prudential regulations should be enforced for all participants in the financial system to safeguard safety and soundness and financial stability, especially in smaller jurisdictions with their own currencies (the Solomon Islands, Vanuatu, Samoa and Tonga). In jurisdictions with high NPLs (Vanuatu, Fiji and the Solomon Islands), the authorities should closely monitor further increases in NPLs and ensure banks make timely provisions for expected loan losses. In case of weak banks, the authorities should consider early intervention such as restricting dividend payouts and requesting capital injections from shareholders. Finally, jurisdictions which primarily rely on single foreign banks (Nauru and Kiribati), should actively interact with host country supervisors.

33. The emergency liquidity assistance (ELA), and crisis management and resolution frameworks need improvement.

While the legal powers for ELA are present in central bank legislation, there is often a lack of policy development in this area, with little preparation of indicative loan agreements, terms for lending, recovery mechanisms, collateral arrangements and disclosure arrangements in all PICs, including PNG and Fiji. This creates a risk of ad hoc central bank assistance in periods of bank stress, including a risk that central banks could become the source for solvency support. While most regulators have some legal powers for intervention and resolution, the crisis management and resolution frameworks are below the level set out in international standards and lack many of the features expected of a robust resolution regime (FSB, 2016 and World Bank, 2022b).

34. Where relevant, the regulators in PICs should also consider implementing Basel III regulations in a proportionate manner.

In the aftermath of the global financial crisis, the Basel Committee on Banking Supervision adopted the Basel III regulatory framework. Basel III improves the deficiencies in the pre-crisis regulatory framework and provides a foundation for a resilient banking system that helps prevent the build-up of systemic vulnerabilities. Under Basel III, banks must hold increased capital; maintain a minimum leverage ratio above 3%; and are subject to higher liquidity requirements. PICs should consider implementing this framework that also allows the banking system to support the real economy through the economic cycle (BIS, 2017), while tailoring the regulations to the specific needs of their banking systems.

35. Financial regulators in all PICs should incorporate climate risks into their regulatory and supervisory frameworks.

Banks in PICs are highly exposed to climate and natural disaster shocks. Hence, consideration of the potential impacts of climate-related risks on banks' individual business models and the assessment of the materiality of these risks are needed. Management of climate-related financial risks should be proportionate to the nature, scale and complexity of banks' activities. Financial system players should

consider the unique characteristics of climate risks, including but not limited to potential transmission channels, the complexity of the impact on the economy and financial sector, uncertainty related to climate change and potential interactions between physical and transition risks (BIS, 2022). PIC governments should also invest into building databases that assess exposures of key property and infrastructure to climate and natural disaster risks.

36. Given limited economies of scale, improving the operating environment for banks can bring significant dividends.

Most PICs are some of the smallest and remotest places in the world, which limits the ability of the financial sector to benefit from the economies of scale. Additional challenges stem from inadequate physical infrastructure, poor governance, an outdated legal and regulatory environment and government dominance in inefficient enterprises that crowd out the private sector. These problems are further exacerbated by deficiencies in the anti-money laundering frameworks, which partially contribute to the loss of correspondent banking relationships (IMF 2023b), which affects smaller PICs more. As a result, governments in these countries need to embark on reforms to improve the enabling environment, which should also reduce the cost of banking business in the Pacific.

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